easy to have a leased line connecting him to the exchange's trading system. But it was not possible to drag leased line cables to other parts of the country. The NSE solved this by offering a satellite network to help brokers in other states and the far-flung corners of Mumbai city to connect to its trading system. In effect, the NSE had to start as a telecom company, hooking a stock trading platform to its telecom network!

The NSE's debt market segment went live in June 1994, before its equity segment did. By November that year, the equity segment was operational too. The introduction of electronic trading rapidly shrank the spreads and dramatically improved liquidity. Liquidity, in turn, attracted more players, making the market even more liquid. No longer could brokers fleece investors as the prices were out there for all to see. Collection of daily margins and limits on positions that brokers could take up, helped in risk management.

Before the NSE's arrival, the BSE used to be closed for trading from Christmas day up to the day after New Year's day. Not wanting to risk losing business to its rival, BSE decided to do away with the week-long break.

The screen-based system made the whole trading process faceless. Buyers and sellers no longer knew who was on the opposite side of their trades. When trading used to take place in the stock exchange ring, brokers and jobbers could choose whom they wanted to deal with. The community being a small one, everybody knew everybody else by face and name, even if not personally. Brokers would avoid counterparties whom they suspected of bad faith or of not being financially sound to be able to honour commitments. In the ring, I would avoid AS and PS like the plague. But on the screen, there was no way of saying if I was buying from or selling to them.

With BSE too going electronic, many jobbers saw their income drop sharply. Once the kings of certain counters, quite a few of them had to hire themselves out as arbitrage dealers to brokers. Seated in front of two trading terminals – one of the BSE and the other of the NSE – these jobbers would try to profit from the brief price differentials on scrips on the two exchanges. They would buy on the exchange where a stock was quoting cheap and promptly sell on the exchange where it was quoting a few paise higher. This called for lightning reflexes and for constantly prowling the screens for opportunities. One advantage with the trading terminals over